RRSP and Spousal RRSP at More Than One Institution: the Rules

One deduction limit, the 3-year attribution rule, exceptions, deadlines, withdrawals and income splitting, in plain English · 2026

A spousal RRSP lets the higher earner contribute and take the deduction, while the money becomes the lower earner's retirement income. Two rules make it work or go wrong: both accounts share ONE deduction limit (the contributor's), and a withdrawal too soon after a contribution is taxed back to the contributor. Each institution only sees its own account, so nobody warns you. These are the rules that matter, and how the tracker handles each one.

1. WHO IS WHO

Term	What it means	In the tracker
Contributor	The person who pays into the spousal RRSP and claims the deduction on Line 20800.	"You". Settings B5.
Annuitant	Your spouse or common-law partner: the owner of the spousal RRSP. The money is theirs.	"Your spouse". Settings B6.
Spouse or common-law partner	Married, or living together in a conjugal relationship for at least 12 months, or with a child together.	—
Your own RRSP	The RRSP where you are both the contributor and the owner.	Account = RRSP.
Spousal RRSP	The RRSP you pay into for your spouse. It can be at any institution, and there can be more than one.	Account = Spousal RRSP.

2. ONE DEDUCTION LIMIT FOR BOTH ACCOUNTS

Rule	What it means	In the tracker
New room: 18% of earned income	18% of last year's earned income, up to $33,810 for 2026 ($35,390 for 2027), minus any pension adjustment from a workplace plan.	—
Your limit is on your NOA	The "RRSP deduction limit" on YOUR Notice of Assessment already includes unused room carried forward. Do not add carry-forward again.	Settings B26.
Unused contributions	Contributions you made but have not deducted yet (also on the NOA) already use room.	Settings B27; B28 = B26 – B27.
Both accounts use YOUR room	Contributions to your own RRSP and to every spousal RRSP you pay into come out of your one limit. Your spouse's own room is not used and does not grow.	RRSP room block, both dashboards.
Deadline: first 60 days of next year	Contributions made by March 1, 2027 can be deducted on your 2026 return.	Room window March 2 → March 1.
$2,000 lifetime buffer	You can be up to $2,000 over in total, for life. Above that, 1% per month on the excess until it is withdrawn; file Form T1-OVP within 90 days after the end of the year.	Amber and red messages.

Example. Your 2026 deduction limit is $22,000. You put $5,000 into your RRSP at RBC and $4,000 into the spousal RRSP at TD. Room left = $22,000 – $9,000 = $13,000, for both accounts together.

3. THE 3-YEAR ATTRIBUTION RULE

Rule	What it means	In the tracker
The rule	If your spouse withdraws from a spousal RRSP in a year when you paid into any spousal RRSP for them that year or in the two calendar years before, the withdrawal is taxed to YOU, up to the total of those contributions.	Attribution block and Attribution Tracker.
The calendar year you PAID it	What counts is the year the money went in, not the tax year you deducted it. A contribution on February 15, 2027 deducted on your 2026 return is a 2027 contribution.	Uses the year in column B.
Safe from January 1, three years later	A contribution paid any time in 2026 is safe from January 1, 2029. Paying on December 31 instead of January 1 makes it safe a full year sooner.	"Safe to withdraw from" column.
All spousal RRSPs count	Contributions to any spousal RRSP for the same spouse count, at every institution.	Section B, by institution.
Form T2205	Works out how much of the withdrawal goes on your return and how much on your spouse's.	"Taxed back to you" columns.

Example. You paid $5,000 into the spousal RRSP in 2024, $6,000 in 2025 and $4,000 in 2026. In June 2026 your spouse withdraws $3,000. The at-risk pool for 2026 is $5,000 + $6,000 + $4,000 = $15,000, so all $3,000 is taxed to you, not your spouse. With no more spousal contributions, withdrawals are safe from January 1, 2029.

4. WHEN THERE IS NO ATTRIBUTION

- **Living apart** because the relationship broke down, at the time of the withdrawal.
- **Death** of the contributor in the year of the withdrawal.
- **Non-residence**: you or your spouse is not a resident of Canada.
- **Home Buyers' Plan or Lifelong Learning Plan** withdrawals by your spouse.
- **RRIF minimum amount**: after the spousal RRSP becomes a RRIF, the yearly minimum is not attributed. Anything above the minimum still can be.
- The tracker does not know about these exceptions. If one applies, ignore its "taxed back to you" amount for that year.

5. WITHDRAWALS, AGE 71 AND THE PLANS

Rule	What it means	In the tracker
Withdrawals are taxed	Income on Line 12900. Withheld at source: 10% up to $5,000, 20% from $5,000 to $15,000, 30% over $15,000 (in Quebec: 5% / 10% / 15% federal plus provincial tax).	Settings B33.
Room never comes back	An RRSP withdrawal does not give the room back, from either account.	Withdrawals do not change room.
Your RRSP converts at 71	Your own RRSPs must become a RRIF or an annuity by December 31 of the year you turn 71.	Settings B11.
The spousal RRSP converts at your spouse's 71	By December 31 of the year your SPOUSE turns 71.	Settings B12.
Contribute past 71	If you are past 71 but your spouse is not, you can keep contributing to the spousal RRSP until December 31 of the year your spouse turns 71, as long as you have room.	Settings B12 note.

Rule	What it means	In the tracker
Home Buyers' Plan	Each first-time buyer can withdraw up to $60,000 tax-free from RRSPs they own, the spousal RRSP included, and repay over 15 years. Not attributed.	—
Lifelong Learning Plan	Up to $10,000 a year, $20,000 in total, for full-time studies. Repay over 10 years. Not attributed.	—

6. US DIVIDENDS AND THE CANADA-US TAX TREATY

Holding	In either RRSP	In a TFSA or taxable account
US-listed stock or ETF (KO, VOO, SCHD)	0% withheld (treaty exemption)	15% withheld by the IRS
Canadian-listed ETF of US stocks (VFV, XUS)	15% lost inside the fund	15% lost inside the fund
Canadian stock or ETF	No withholding	No withholding

7. MOVING MONEY BETWEEN INSTITUTIONS

- **Always ask for a direct transfer** (Form T2033). It is not taxed and does not touch your room.
- **Spousal stays spousal.** A spousal RRSP can only be transferred to another spousal RRSP for the same spouse. You cannot move money between your RRSP and the spousal RRSP.
- **Withdraw and re-deposit is not a transfer.** It is a taxable withdrawal and a new contribution, and a spousal re-deposit restarts the 3-year clock.
- **Contributing shares in kind** from a non-registered account counts as selling them: a gain is taxable, a loss is denied.

8. MAKING INCOME SPLITTING WORK

- **Aim for two equal retirement incomes.** Two incomes of $50,000 pay less tax than one of $90,000 and one of $10,000. The Attribution Tracker shows your household balance.
- **The higher earner contributes**, so the deduction is worth the most; the spouse with the lower expected retirement income owns the money.
- **Pension income splitting from 65** (Form T1032) lets you split up to 50% of RRIF income on your returns. A spousal RRSP still helps before 65, for early retirement, and for RRSP withdrawals, which cannot be split.
- **Plan withdrawals around the rule:** stop spousal contributions three calendar years before your spouse needs the money.

For educational purposes only. Not financial or tax advice. Rules summarized for 2026 from canada.ca (RRSPs and related plans; spousal or common-law partner RRSPs; Form T2205; MP, DB, RRSP, DPSP, ALDA, TFSA limits). Always confirm your own room on your Notice of Assessment. Questions: hello@maplesheet.ca